

industrials. Danaher you probably know. It's a giant \$58 billion company. The Rales brothers perfected folding in smaller industrials and plugging them into the Danaher machine.

Colfax is more interesting because it's smaller (only \$6 billion market cap) and younger. It went public back in 2008 at \$18 per share. The Rales brothers are basically applying the Danaher formula all over again at Colfax. It was on fire for a while.

The stock seems to be on sale now, off 30 percent from its high.

- *Mike Pearson, Valeant Pharmaceuticals (VRX)*. This one is controversial. There are some vocal critics who think Valeant's business model is all sizzle and no steak. They also dispute the accounting and chafe at the share price. On the other hand, I heard Bill Ackman of Pershing Square cogently defend it at a Grant's Conference. He cited growing cash earnings and the logic of Pearson's deal making.
- *NVR Inc. (NVR)*. This is the clear Outsider among homebuilders.

Murray Stahl at Horizon-Kinetics wrote about it late in 2013. He summed up its outstanding features:

NVR is somewhat of an oddity within the homebuilding industry. It chose not to enter rapidly growing markets such as in California and Arizona, it remained solidly profitable throughout the housing crisis and currently has more cash than debt. This conservative management approach has led the company to also repurchase nearly half of its shares outstanding during the course of the last decade.

If you ever want to own a homebuilder, you should start with this one.

- *Exxon Mobil (XOM)*. Thorndike cited a long, 35-year, track record. It's big and boring. And it feels played out to me. The stock has been a dog for five years. But maybe you can still make good money with it.